

HO/01/IT/2025-26/86

Date:22.05.2025

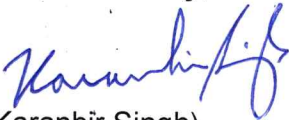
Circular to all Branches & Offices
Issued by Information Technology Department

Re: IT Policy (Version 1.0) of the Bank

Branches & Offices are hereby informed that the IT Policy (Version 1.0) of the Bank has been approved by the Hon'ble Board of Directors through agenda item no.10 in its meeting no.01(01/2025) dated 07.05.2025. The policy will come into force with immediate effect & validity of the policy is for next three years from the date of approval. The approved IT Policy is attached here with this circular.

Kindly bring the content of this policy in the notice of all staff members of the Branches/Offices.

Yours faithfully,



(Karanbir Singh)
General Manager

Enclosure: As above

IT Policy

(Version – 1.0)

**Uttar Pradesh Gramin Bank
Information Technology Department
Head Office, Lucknow**

IT Policy (Version 1.0)

Document Information

Document Name	IT Policy
Document ID	UPGB IT Policy
Document Owner	IT Department
Document Version No.	1.0
Document Version Date	
Prepared By	Information Technology Department
Reviewed By	
Approved By	

Version History since 2024

Version No.	Version Date	Prepared By
1.0		

Current Version Reviewed by

Version No.	Name	Designation
1.0		

Distribution List

Version No.	Designation	Department
1.0	All Departmental Heads and Heads of Controlling Offices.	All Departments, Controlling Offices and Branches

IT Policy (Version 1.0)

Table of Contents

Sr. No.	Particular	Page No.
01.	Introduction	4
02.	IT Governance Structure	5
03.	Vision, Mission & Objective	6-7
04.	Operational Environment	8-9
05.	Implementation of IT Policy	10-11
06.	Organizational Structure in IT	11
07.	Information Security	11
08.	Key Components of Information Security for Bank	11-13
09.	Leveraging of Technology as Alternate Delivery Channels	13-15
10.	Disaster Recovery & Business Continuity Plan	15-17
11.	Payment & Settlement System	17
12.	Information System Audit	17-19
13.	Cloud Services	19
14.	Customer/Employee Awareness	19-21
15.	Reference to various IT related policies	22
16.	IT Committees	22-24
17.	Sunset Clause	24

IT Policy (Version 1.0)

Introduction

As Banks are extensively depending on Information Technology (IT) to execute its mission and provide services to the customers and ensure compliances associated to bank's business operations. Information Technology policies are an essential requirement to sound IT usage and IT Security. Bank designed to preserve the confidentiality, integrity, availability, and value of IT assets, as well as ensure the continued delivery of services. It also establishes the appropriate focus and standards for acceptable IT practices across an organization. This policy is based on IT guidelines and highlights Banks' goals and requirements for protecting its IT assets.

Every organization that uses computers, email, internet and software on a daily basis should have information technology (IT) policies in place. It is important for employees to know what is expected and required from them when using the technology provided by their employer, and it is critical for a bank to protect itself by having policies to govern areas such as personal internet and email usage, security, software and hardware inventory and data retention.

The IT Policy of the bank at the macro level is an endeavor to align IT Vision, IT Mission and IT Objective of the Bank. IT Policy of the Bank is a broad policy encompassing the entire IT function of the bank. The Policy would entail at managing the operating environment and striving towards maintaining/improving customer services.

IT is a specialized organizational capacity that provides value to customer in the form of IT Services, IT Policy act as a tool in effective and efficient delivery of these services to ensure value for customers.

IT policy address following areas:

Acceptable Use of Technology: Guidelines for the use of computers, printers, scanners, biometric devices, internet, email and the consequences for misuse.

Security: Guidelines for passwords, levels of access to the network, virus protection, confidentiality, and the usage of data.

Disaster Recovery: Guidelines for data recovery in the event of a disaster, and data backup methods.

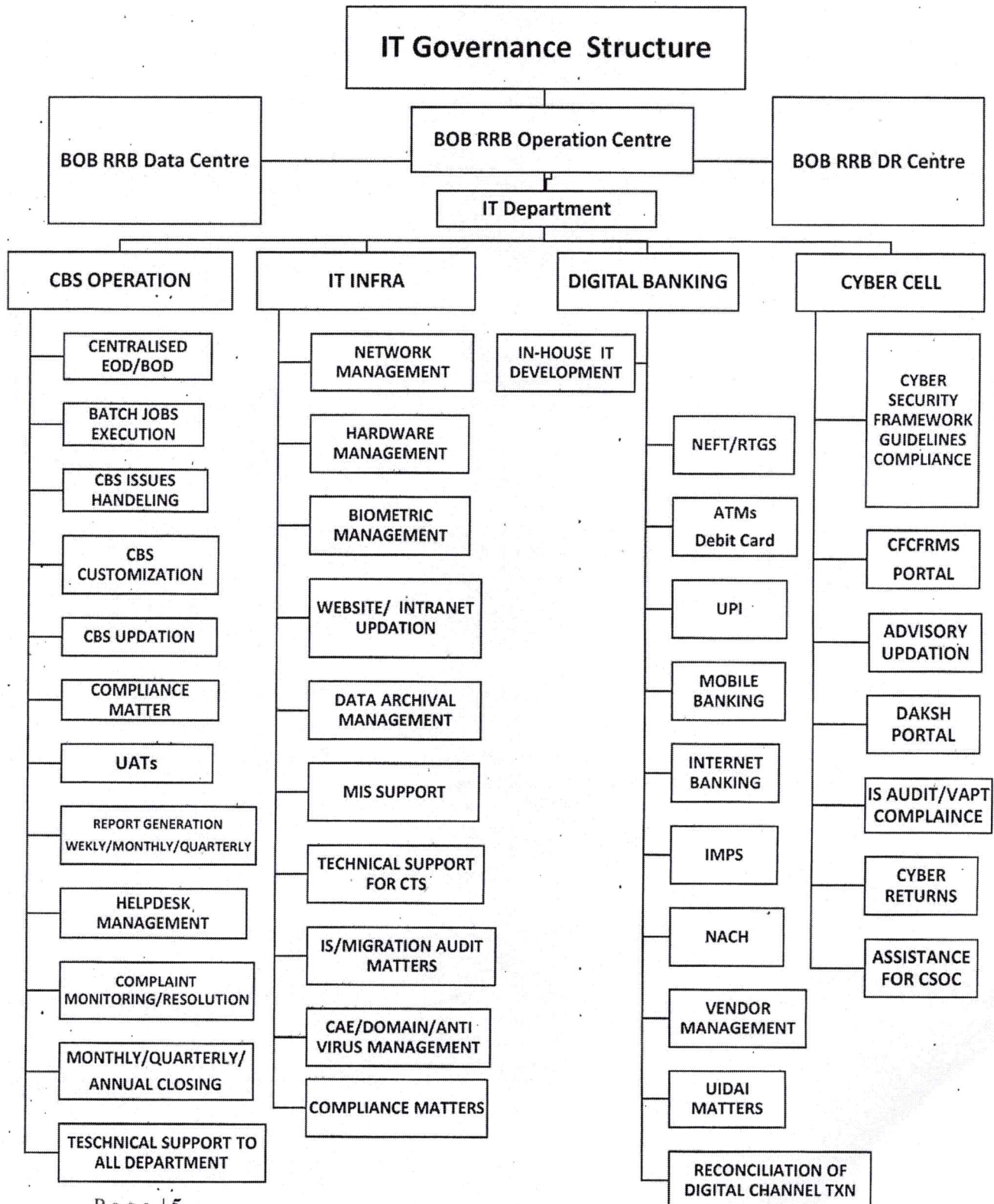
Technology Standards: Guidelines to determine the type of software, hardware, and systems will be purchased and used at the bank, including those that are prohibited.

Network Set up and Documentation: Guidelines regarding how the network is configured, how to add new employees to the network, permission levels for employees, and licensing of software.

IT Services: Guidelines to determine how technology needs and problems will be addressed, who in the organization is responsible for employee technical support, maintenance, installation, and long-term.

Purpose of IT policy is to set direction and provide information about acceptable actions and prohibited actions or policy violations. Guidelines are created and provided to help organization, branches and individuals who are part of bank to understand how bank policy applies to some of the significant areas and to bring conformance with stated policies.

IT Policy (Version 1.0)



IT Policy (Version 1.0)

Vision of the Information Technology Policy

The vision of the IT policy for the Bank is to establish a secure, efficient, and customer-centric technological environment that leverages modern IT solutions—specifically the Finacle software—to enhance banking operations, protect customer data, and support the bank's growth.

This vision encompasses:

1. **Security and Integrity:** Ensuring the highest level of data security, system integrity, and confidentiality, safeguarding both bank operations and customer information from cyber threats and unauthorized access.
2. **Operational Efficiency:** Fostering seamless and reliable banking operations through the optimal use of Finacle software, driving automation, reducing errors, and enhancing service delivery.
3. **Innovation and Adaptability:** Continuously adopting emerging technologies to improve banking processes, while ensuring that the IT infrastructure remains flexible and scalable to support future growth and evolving customer needs.
4. **Compliance and Risk Management:** Adhering to all regulatory requirements and best practices, ensuring the bank's operations are fully compliant with data protection laws and industry standards, while proactively managing IT risks.
5. **Employee Empowerment and Awareness:** Providing ongoing training and support to employees, enabling them to effectively use IT systems and protect the bank's digital resources.
6. **Customer Trust:** Enhancing customer trust by ensuring reliable, secure, and convenient banking services powered by the latest technology solutions.

Through this vision, the bank strives to be a role model in delivering safe, efficient, and customer-friendly banking services, leveraging IT for sustainable growth and societal impact.

"To continue to work in the direction of making bank's information systems robust, scalable, available, accessible, efficient and effective to meet bank's existing and emerging business requirements. To facilitate shifting of customers to alternate delivery channels for availing banking and financial services in line with the changing business landscape to e-commerce"

Mission of the Information Technology Policy

The mission of an IT policy for a bank is to establish a comprehensive technological framework that ensures the secure, efficient, and compliant use of technology across the institution. The policy serves as a guiding document to protect the bank's information systems, data, and technological resources while enabling the bank to meet business objectives, comply with legal and regulatory requirements, and mitigate IT-related risks. Here's a detailed breakdown of the mission of an IT policy for a bank:

1. **Ensure Security and Protection of Information:** Safeguard sensitive and critical data by setting security standards, protecting against unauthorized access, breaches, and cyber threats, ensuring confidentiality, integrity, and availability of information.
2. **Optimizing Operational Efficiency:** To leverage Finacle software and other IT tools to streamline banking processes, reduce errors, and improve service delivery, ensuring smooth and effective operations for both employees and customers.

IT Policy (Version 1.0)

3. **Promote Efficient and Effective Use of Technology:** To optimize the use of IT resources, ensuring that technology aligns with and supports the bank's business objectives and improves operational efficiency.
4. **Fostering Innovation and Digital Transformation:** To embrace new technologies that enhance the bank's capabilities, offering more convenient, accessible, and modern banking solutions that cater to the needs of rural communities.
5. **Promoting Risk Management and Resilience:** To proactively identify and manage IT-related risks, ensuring that the bank's operations are resilient to disruptions through robust backup, recovery, and disaster management protocols.
6. **Implement Transparent Monitoring and Auditing:** To establish regular monitoring, auditing, and reporting processes that ensure compliance with the bank's IT policies and identify any potential vulnerabilities or non-compliance issues.
7. **Support Ethical IT Practices:** To promote ethical standards in the use of IT systems, ensuring that technology is used responsibly, with consideration for customer privacy, fairness, and transparency.

In a summarized way mission comprise that

"Ensuring best and effective service to the customers of the bank by making available best possible products, complying with all the statutory/regulatory guidelines, in a secure IT environment; delivering on a 24X7 basis across a wide range of delivery channels."

Objective

All endeavors of the IT support function will be aligned with the Vision and the Mission. To achieve that, following objectives will be pursued: -

- (i) On the basis of requirement procurement of Hardware / software and other services will be done through the appropriate committee. Regarding the same respective separate policies of the Bank (IT Outsourcing policy, Procurement Policy of Bank of Baroda etc.), duly approved by the Board/Top Management.
- (ii) Providing necessary support for imparting updated technology training to end users through the internal training centers/other forums to enable them to optimally utilize IT infrastructure of the Bank.
- (iii) Ensuring Skill development of mainstream/IT/IT Domain officials posted in IT support function by exposing them to various specialized training programs and seminars both inside and outside the bank.
- (iv) Optimizing the cost of IT services by sharing IT resources while maintaining desired levels of efficiency and security and at the same time adhering to all aspects related to Privacy, Confidentiality, Security and Business Continuity. Sharing will be done on a case to case basis based on the merit of the case and as approved by top management.
- (v) Performing proper cost benefit analysis while choosing any technological platform/solutions so that the technology identified for implementation has a minimum shelf life of around five years and would be affordable and appropriate to the bank's business requirement.
- (vi) Ensuring seamless functioning of IT systems across the bank by making optimum system integration.

Handwritten initials/signature

IT Policy (Version 1.0)

- (vii) Providing necessary data/assistance to all stakeholders to enable them to use data analytics, business intelligence and data mining tools for deriving meaningful inferences to fulfill MIS needs of the Bank.
- (viii) Optimal planning of all infrastructures (system software, hardware and network equipment) to ensure scalability in all banking activities for present as well as future requirements.
- (ix) Ensuring compliance of standards for Operating System interface, application interface, Electronic Interchange interface and Communication/ terminal devices / interfaces (IPV6, ISO, and COBIT etc.) will be ensured / aspired as the case may be.
- (x) Ensuring compliances of regulatory guidelines issues from time to time applicable to the Bank.

Operational Environment

The current operating environment needs to be taken in to account to put the IT Policy in its context. The operating environment has various components as follows:

- 1.1 Business environment
- 1.2 Technology environment
- 1.3 Statutory environment
- 1.4 Legal environment

1.1 Business Environment

The current business environment has become more competitive for the bank with the following broad patterns:

- (i) Reducing spread (interest margins)
- (ii) Emerging competition in the CASA area in the form of Payment banks/small banks
- (iii) Increased cost of acquiring profitable customers
- (iv) Need to attract more new generation customers
- (v) Need to cross sell
- (vi) Improve the efficiency of bank's systems and procedures to cut costs

Any new digital product/service gives a competitive edge in the market to the bank only for a limited period of 4 to 6 months as the competitor also catches up with a similar product/service by that time. Considering this short period, IT projects need to be swiftly implemented by IT support function and further immediately leveraged/marketed/utilized by the field functionaries so that the bank finally benefits from it.

The customers are now becoming increasingly mobile and ever more demanding. Customer perceptions are changing at a rapid rate and they are now requesting specialized products and high value quality and these requirements need to be met to help reinforce trust and confidence in the bank. Digitization makes new functionalities possible for new transaction and banking contexts, which were not feasible before. The IT Policy helps the bank in making important organizational decisions, including the identification of different alternatives such as programs or spending priorities, and choosing among them on the basis of meeting the customer requirement.

1.2 Technology Environment

Moreover, in the fast changing technology environment, the domain gap between BFSI (Banking, Financial Services and Insurance) players (banks and insurance companies etc.)

IT Policy (Version 1.0)

and telecom/technology companies are blurring and each player is becoming a competitor/collaborator to the other player in the long term.

The IT Function in the bank need to nurture a new set of capabilities to make the bank as a leader in business model/ platform /industry/ vision, etc. to become a bank with, -

- *An IT Culture that embraces openness*
- *API development and management skills.*

The key benefits of aligning the IT Policy around the operating environment context are as follows:

- First mover advantage
- Improved utilization of available skilled resources
- Improvement in Profitability and efficiency.
- Improvement in Customer service.
- Optimum utilization of IT Infrastructure.

1.3 Statutory Environment

IT function would assist the Bank to comply with all the Statutory (RBI/GoI/DFS/SEBI/IRDA/IBA etc.) rules/regulations/guidelines. IT would further support the bank by collaborating with various governmental agencies for recent GoI initiatives (e-Governance, FI initiatives, DBT, Digital India, etc.) as approved by top management from time to time.

DFS:

As per recent DFS guidelines, Govt. of India is recapitalizing the banks based on various efficiency parameters. IT support function would continue to function as *one of the key drivers* to boost the efficiency of the bank.

Regulatory Guidelines:

IT Policy aligns with regulatory guidelines having implication in the IT Function of a bank and special endeavor requires to ensure that all relevant RBI/NABARD Guidelines on Information Security, Electronic Banking, Technology Risk Management, Cyber security framework will be complied by the bank.

1.4 Legal Environment

IT support function of the bank would assist the bank in complying with relevant provisions of the IT Act, 2000 and IT Amendment Act, 2008 and all future amendments as issued from time to time. IT Department in coordination with BOB RRB DC and in consultation with Legal Department would assist the bank in technology compliance of any other legal act.

The Govt. has introduced electronic signature or electronic authentication technique and Procedure Rules, 2015 in which the technique known as "e-authentication technique" using *Aadhaar e-KYC services* has been introduced for facilitating e-signature. IT would enable the systems to work with this as per the extant guidelines of the bank.

IT Policy (Version 1.0)

Implementation of IT Policy

As per the business logic provided by the business owner departments under the supervision of the top management of the bank, IT Policy will be implemented in the bank through the IT department.

It would take care of the following aspects: -

- IT Support function would be the “enabler” of business function.
- IT Support function would provide the necessary technology infrastructure procurement / customization / maintenance / optimization / monitoring / disposal on behalf of the bank for its technology products/services like Core Banking Solution (CBS), Internet Banking (INB), Mobile Banking (MB), ATM & all other ADC technical product, Payment systems, Cheque Truncation system etc.
- It would also provide technology consultancy, digital products/services/process re-engineering, system development for the various constituents of the bank.
- IT Support function would also put in the necessary tools and techniques (Cyber Security Operation Centre [CSOC], Network Operation Centre [NOC] etc.) for securing this IT Asset so that this critical function is safe and 24 x 7 available. CSOC setup for RRB will be completed with the synchronization of RRB Cell & BOB RRB DC.
- It would ensure timely up gradation and replacements of Hardware, software and network equipment wherever needed. Capacity utilization of the present hardware shall be assessed before procuring new equipment. Appropriate monitoring of respective layers on daily basis as far as through real time monitoring tools, will be undertaken to achieve this objective.
- It would make sure that the hardware procured for any new/existing system shall be standardized and compatible with the existing/new application(s).
- Computer Hardware and peripherals procurement may be done centrally from Head Office level through rate contract already executed by Bank of Baroda. In the beginning of every financial year requirement will be taken from all Regional offices and request will be raised to Bank of Baroda to add our Bank's Computer Hardware and peripherals requirement in their RFP for procurement.
- The items not covered in the rate contract of Bank of Baroda and required on need basis/exigency, will be procured by the concern Regional Office/Head Office as per their requirement in accordance with procurement guidelines of the Bank.
- All the software procurement/development and deployment shall be done in accordance with the BOB RRB DC & RRB Cell and will be approved by the Hon'ble Board of the Bank. In view of cost efficiency and technical expertise, procurement for RRB may be done through the centralized system of procurement of Bank of Baroda via RRB Cell (as including RRBs under RFP of sponsor bank).
- Adequate training would be given to the Call Centre officials and necessary information shall be made available to them for attending to customer queries and to redress their complaints.
- Awareness would be created about all the products and salient features would be shared with the employees enabling them to take maximum benefit out of the new products being deployed by the bank. For this purpose, various platforms and channels would be made use of.

IT Policy (Version 1.0)

- A robust Help desk mechanism to be ensured by further strengthening the facility that has been provided for assisting the Employees in extending the reach of the Digital products to customers.

Organizational Structures in IT

In-coordination with BOB RRB DC and RRB Cell, IT Department, Head office will be responsible for all IT initiatives and projects of the bank for its implementation and monitoring across all branches and offices in the bank. The Regional IT official will be working as an extended arm of Head Office IT Setups.

Information Security

Information security in banking refers to the practices, policies, and technologies used to protect sensitive financial data, systems, and infrastructure from unauthorized access, damage, or theft. Banks handle critical financial information, and ensuring the confidentiality, integrity, and availability of this information is paramount to maintain trust, comply with regulations, and prevent financial crimes.

- Bank will formulate a distinct Information Security Policy, Customer Data Protection Policy & Cyber Security policy which will be duly approved by the Hon'ble Board of the Bank.
- Bank shall strive to take all feasible steps to ensure that tools and mechanism for IT security will be implemented, reviewed and upgraded so as to secure customer data and compliance of law of land including the IT Act.
- Consistent efforts shall be made to upgrade the technology to effectively deal with the growing threats of cyber frauds.

Key Components of Information Security for Banks:***Data Encryption***

- **Purpose:** To Protect sensitive data (such as customer accounts, transactions, and personal information) by converting it into unreadable cipher text.
- **Types:**
 - **End-to-End Encryption (E2EE):** To Ensures data remains encrypted throughout its journey from sender to receiver.
 - **At-Rest and In-Transit Encryption:** To Protects data both while it is stored and during transmission.

Access Control

- **Purpose:** To Ensure that only authorized users have access to specific systems, data, or networks.
- **Types:**
 - **Role-Based Access Control (RBAC):** Grants permissions based on user roles.
 - **Multifactor Authentication (MFA):** Requires multiple verification methods (e.g., passwords and biometric scans).
 - **Single Sign-On (SSO):** Streamlines the login process by using one authentication for multiple applications.

Firewalls and Intrusion Detection Systems (IDS)

- **Purpose:** To Protect the bank's network from unauthorized access and identify potential threats.
- **Firewalls** to block or allow traffic based on security rules.

IT Policy (Version 1.0)

- **Intrusion Detection Systems** to monitor network traffic for signs of malicious activity, alerting security teams to potential intrusions.

Regular Security Audits and Penetration Testing

- **Purpose:** To Identify vulnerabilities in systems, applications, and processes.
- **Penetration Testing** involves simulated cyberattacks to find weaknesses before malicious actors exploit them.
- **Security Audits** involve detailed reviews of systems and policies to ensure compliance with standards and best practices.

Endpoint Security

- **Purpose:** Protect all devices used to access bank systems (e.g., desktops, laptops, mobile devices) from cyber threats.
- **Tools:** Antivirus software, anti-malware, device management solutions, and security patches.

Data Loss Prevention (DLP)

- **Purpose:** Prevent unauthorized access to or sharing of sensitive financial data.
- **Tools:** DLP software can monitor and block sensitive data from being leaked or improperly transmitted outside the organization.

Backup and Disaster Recovery Plans

- **Purpose:** To Ensure business continuity in case of data loss, system failure, or cyberattacks (e.g., ransomware).
- **Key Practices:** Regular backups, off-site storage, and tested recovery plans to restore operations quickly.

Employee Training and Awareness

- **Purpose:** Ensure that bank employees are aware of security policies and understand common threats such as phishing, social engineering, and malware.
- **Training Programs:** Regular security training, phishing simulations, and awareness campaigns can reduce human error.

Compliance with Regulations and Standards

- **Purpose:** Adhere to laws that regulate financial institutions' information security practices.
- **Common Regulations:**
 - RBI, NABARD, UIDAI, NPCI regulations for data protection.
 - PCI-DSS (Payment Card Industry Data Security Standard) for securing card payment transactions.

Incident Response and Monitoring

- **Purpose:** Detect, respond to, and recover from security incidents such as data breaches, ransomware attacks, or fraud.
- **Incident Response Plan:** A well-defined process for handling breaches, notifying affected parties, and coordinating recovery.
- **Security Information and Event Management (SIEM):** Systems that monitor, log, and analyze security events in real-time to detect anomalies and attacks.

Third-Party Risk Management

- **Purpose:** Ensure that third-party vendors (e.g., cloud providers, software suppliers) adhere to appropriate security practices.
- **Security Measures:** Conduct due diligence, assess vendor risks, and ensure contracts include provisions for security, data protection, and compliance.

Emerging Threats in Banking Information Security:

1. **Cyberattacks:** The rise of advanced persistent threats (APT) and malware (including ransomware) that target financial systems and sensitive data.

IT Policy (Version 1.0)

2. **Insider Threats:** Employees or contractors with access to bank systems may inadvertently or maliciously cause harm.
3. **Phishing and Social Engineering:** Fraudsters often try to trick bank customers or employees into revealing personal or financial information.
4. **Cloud Security:** The growing use of cloud infrastructure increases the risk of data breaches and loss of control over sensitive data.

Leveraging of Technology as Alternate Delivery Channels

In the banking industry, **Alternate Delivery Channels (ADCs)** refer to various non-traditional ways for customers to access banking services, other than through traditional branch visits. Leveraging ADCs allows banks to enhance customer experience, streamline operations, and provide services in a more efficient, flexible, and accessible manner. These channels are often enabled through digital technologies and innovation, improving convenience, speed, and cost-effectiveness for both banks and their customers.

Key Types of Alternate Delivery Channels in Bank:

1. **Online Banking (Internet Banking)**
 - **Description:** Customers access banking services through a bank's website using their computers or mobile devices. This channel allows users to check account balances, transfer funds, fetch statement of account and apply for various services.
 - **Benefits:**
 - 24/7 availability.
 - Convenient for managing accounts without needing to visit a branch.
 - Lower operational costs for the bank due to reduced branch dependency.
 - Enhanced customer experience with an intuitive and user-friendly interface.
2. **Mobile Banking (M-Tarang)**
 - **Description:** A mobile application platform that allows customers to access banking services using smartphones and tablets.
 - **Benefits:**
 - Convenience of banking on the go.
 - Can include features like QR code payments, mobile check deposits, and instant notifications for transactions.
 - Enhanced security through biometrics, such as fingerprint or face recognition.
3. **ATM (Automated Teller Machines)**
 - **Description:** ATMs are machines that allow customers to withdraw cash, make deposits, transfer funds between accounts, and check balances without the need for human assistance.
 - **Benefits:**
 - Immediate cash access.
 - Reduced need for branch visits for routine transactions.
 - ATM networks can provide wide geographic coverage.
4. **Point of Sale (POS) Terminals**
 - **Description:** POS terminals allow merchants to accept card-based payments from customers at the point of sale, integrating with banks' payment systems.
 - **Benefits:**
 - Widely used for card payments, offering a secure method for transaction processing.

IT Policy (Version 1.0)

- Enhanced customer convenience and access to banking services through easy payment options.

5. M-POS Devices

- **Description:** Deployment of M-POS for generation of Green PIN for Debit Cards.
- **Benefits:**
 - Available at branches for providing immediate assistance to customers.
 - Reduces the footfall at ATMS.
 - Improves customer engagement by offering personalized assistance.

6. Unified Payments Interface (UPI)

- **Description:** It is a real-time payment system developed by the NPCI, which facilitates interbank peer-to-peer (P2P) and person-to-merchant (P2M) transactions, through mobile devices. UPI is one of the most popular and widely adopted payment methods in India, revolutionizing digital payments and making transactions fast, seamless, and secure.
- **Benefits:**
 - **Instant Real-Time Transactions,** UPI enables instant money transfers between banks, available 24/7, including holidays. Transactions happen in real-time, making it highly convenient for users.
 - **Simplified Payment Process** through UPI, users can transfer money between different bank accounts, pay for goods and services, and settle bills with just a few clicks on a mobile device. It requires minimal information, usually just the **Virtual Payment Address (VPA)** or **UPI ID**, rather than detailed bank account numbers. **Interoperability** of UPI allows transactions between accounts held with different banks, enabling seamless transfers across the banking ecosystem. For example, a user with an account at Bank A can send money to a recipient with an account at Bank B.

7. IMPS (Immediate Payment Service)

- **Description:** is a real-time interbank electronic fund transfer system in India, developed by the NPCI.
- **Benefits:**
 - IMPS allows users to transfer money instantly, 24/7, including on holidays, between different banks using mobile phones, internet banking, and other platforms. Unlike other traditional methods of fund transfer, IMPS operates in real time, ensuring immediate settlement.

Communication Network

- The Enterprise Wide Area Network (WAN) has been set up by the Bank to take care of all the network related requirements of the bank. This network should be flexible enough to amalgamate, integrate and interface with other networks and applications. Maximum utilization of network be encouraged to derive full benefit.
- The Network Operation Centre (NOC) is set up by the bank at BOB RRB DC to monitor network and high end servers for prompt fault diagnosis and quick resolution of any problem to improve the uptime of our Network equipment.
- Bank has implemented 2-tier MPLS (Multi-protocol label switching) network technology/ architecture in place of 4-tier network technology, which has benefited the bank with "higher availability" of network.

IT Policy (Version 1.0)

- Adoption of IPv6 migration in the bank improves availability of more Number of IP Addresses.
- Bank will ensure the dual connectivity at all its sites to continue the smooth business and functioning of the Bank.

Disaster Recovery & Business Continuity Plan

Business Continuity Management (BCM) plan, includes policies, standards and procedures to ensure continuity, resumption and recovery of critical business processes, at an agreed level and limit the impact of the disaster on people, processes and infrastructure (includes IT); or to minimize the operational, financial, legal, reputational and other material consequences arising from such a disaster.

The Business Continuity Plan of each critical IT activity shall be defined and placed to the Competent Authority for approval.

A **Business Continuity Plan (BCP)** in a bank refers to a comprehensive strategy and set of processes that ensure the bank can continue to operate and deliver essential services during and after an unexpected disruption or disaster, such as natural calamities, cyberattacks, or technical failures. The goal of a BCP is to minimize the impact of disruptions, protect critical operations, and ensure that essential services are resumed as quickly as possible.

A BCP focuses on maintaining or restoring the **Critical operations** (like financial transactions, customer service, and regulatory compliance), **Data security and integrity**, **Customer confidence and trust**, **Employee safety and well-being**

Key Components of a Business Continuity Plan for a Bank:

1. **Business Impact Analysis (BIA):**
 - BIA is a process used to identify and evaluate the potential impacts of disruptions on the bank's critical functions. It helps prioritize resources and establish recovery objectives for each function.
 - **Key Elements of BIA:**
 - Identify critical banking functions (e.g., loan processing, payment processing, trading).
 - Assess the financial, operational, and reputational impact of disruptions.
 - Recovery Time Objectives (RTOs) and Recovery Point Objectives (RPOs) will be defined.
2. **Risk Assessment:**
 - A risk assessment helps to identify potential threats and vulnerabilities that could disrupt the bank's operations.
 - Types of risks include:
 - **Natural disasters** (floods, earthquakes, storms)
 - **Technological failures** (system outages, cyberattacks)
 - **Human factors** (employee strikes, health emergencies)
 - **Regulatory risks** (non-compliance with financial regulations)
 - The assessment leads to the identification of necessary safeguards, such as backup systems and security protocols.
3. **Recovery Strategies:**
 - Recovery strategies outline how the bank will restore normal operations after a disruption. These strategies are often broken into two categories:
 - **Recovery of critical infrastructure** (data centers, networks, banking software).
 - **Recovery of business functions** (payments, customer service, ATM operations).
 - Strategies might include:
 - Data backup and replication (on-site and off-site).

IT Policy (Version 1.0)

- Cloud-based systems and disaster recovery (DR) solutions.
- Relocation plans for employees and data centers.
- 4. **Crisis Communication Plan:**
 - An essential part of any BCP is an effective communication strategy. This ensures that stakeholders, employees, customers, and regulators are kept informed during and after a crisis.
 - Key communication elements include:
 - **Internal Communication:** Notify employees, provide guidance, and ensure their safety.
 - **External Communication:** Inform customers about service disruptions and recovery efforts. Use multiple communication channels (emails, websites notice, sms)
 - **Regulatory Reporting:** Notify financial regulators and ensure compliance with regulatory requirements.
- 5. **Emergency Response Plan:**
 - This plan addresses immediate actions to be taken when a disruption occurs, such as:
 - Evacuating employees in case of natural disasters.
 - Safeguarding critical assets, such as cash and documents.
 - Ensuring security for physical and digital assets.
 - Contacting emergency services, such as fire departments or cybersecurity teams.
- 6. **IT Disaster Recovery (IT DR):**
 - Since banking heavily relies on IT systems, IT DR is a key component of a BCP. It focuses on ensuring that critical banking systems, applications, and data can be recovered after a disruption.
 - Key elements of IT DR include:
 - **Data Backup and Recovery:** Ensuring regular backups of critical data, applications, and configurations. Offsite backups or cloud storage should be used to mitigate the risk of on premise failures.
 - **Redundancy:** Implementing redundant systems, servers, and network connections to ensure business continuity even if one component fails.
 - **System Failover:** Use of failover mechanisms, such as backup data centers or cloud services, to quickly switch to secondary systems.
- 7. **Workforce Continuity:**
 - Ensuring the bank's workforce can continue to function during and after a disaster is vital. This may include:
 - **Remote Working:** Establishing remote access to banking systems so employees can continue their duties from home or other locations.
 - **Cross-Training:** Ensuring that employees are cross-trained so that others can perform critical roles if primary employees are unavailable.
 - **Employee Safety:** Developing protocols for employee safety and well-being in case of a disaster (e.g., evacuation plans, psychological support).
- 8. **Testing and Training:**
 - Regular testing and training are essential to ensure the BCP is effective when a real crisis occurs. This includes:
 - **Simulated Drills:** Conducting table-top exercises and simulations of disaster scenarios to test the effectiveness of the plan.
 - **Employee Training:** Regular training for employees on their roles and responsibilities during a crisis.

IT Policy (Version 1.0)

- **Technology Testing:** Testing backup systems, communication protocols, and disaster recovery infrastructure.
- 9. **Business Continuity Governance:**
 - A dedicated team or BCP Committee should oversee the development, implementation, and testing of the plan.
 - **Roles and Responsibilities:**
 - The committee should include senior management, IT experts, risk managers, compliance officers, and communication professionals.
 - Establish clear escalation protocols for decision-making during a crisis.
- 10. **Third-Party Management:**
 - A bank often depends on external vendors and partners for services like data storage, payment processing, and software support. It's critical to ensure that these third parties have their own continuity plans.
 - This includes evaluating the resilience of third-party systems, establishing Service Level Agreements (SLAs), and having backup arrangements.

The separate overall Business Continuity Policy of the bank will the IT aspects as well which will be reviewed periodically.

Payment & Settlement System

- Payments and settlement system infrastructure be strengthened to support introduction of new payment products. Implementation of utilities like Structured Financial Messaging Solution (SFMS), Public Financial Management System (PFMS), Real Time Gross Settlement (RTGS), National Electronic Funds Transfer (NEFT), Electronic Clearing Services (ECS), NACH, UPI (Unified Payment Interface) etc. be encouraged to have faster and safer transfer of funds.
- Cheque Truncation System (CTS), to be implemented across all the CTS grids as per RBI mandate.
- NPCI has established NACH (National Automated Clearing House) for processing of Aadhaar Payment Bridge System (APBS) transaction files as well as ECS files. The same shall be optimally used in our bank.
- Electronic payment gateway system may be set up and integrated with Internet Banking Services.

Information System Audit

The information systems (IS) audit and related issues will be addressed by Inspection and Audit Division, who will frame guidelines, formulate related policies, review, conduct surveys, audit and undertake control and security reviews of Information systems assets on an on-going basis. Security based audits and hardening will be done regularly.

As per the regulatory guidelines and defined scope of the audit, independent certified IS auditors (from CERT-In, other certified agencies) will commence the IS audit as per scheduled periodicity.

Information Systems (IS) Audit for Banks is a critical process that ensures the effectiveness, security, and compliance of the bank's IT systems and practices. It involves reviewing the bank's IT infrastructure, policies, processes, and controls related to the use of technology in banking operations. Given the increasing reliance on core banking systems like Finacle, IS audits are essential to mitigate risks and enhance the security and efficiency of the bank's operations.

IT Policy (Version 1.0)

Key Objectives of IS Audit

1. **Assess IT Governance:** Evaluate whether the bank's IT policies, processes, and governance frameworks are in alignment with strategic business objectives, regulatory requirements, and best practices.
2. **Ensure Data Security and Privacy:** Ensure that the bank's IT systems protect sensitive customer data and financial information from unauthorized access, loss, or fraud. This includes evaluating encryption, access controls, data storage, and backup practices.
3. **Verify Compliance:** Ensure that the bank's IT systems comply with legal and regulatory requirements, such as the RBI, NABARD guidelines, the Personal Data Protection Act, and other relevant standards.
4. **Evaluate Operational Efficiency:** Assess the efficiency and effectiveness of the bank's IT operations, focusing on areas like system uptime, transaction processing, and the proper functioning of core banking software (e.g., Finacle).
5. **Identify IT Risks:** Identify and assess risks associated with IT infrastructure, including cybersecurity threats, operational disruptions, and data breaches.
6. **Review Internal Controls:** Evaluate the strength of internal controls related to IT systems, such as access management, user authentication, segregation of duties, and auditing of transactions.
7. **Evaluate Business Continuity and Disaster Recovery:** Review the bank's disaster recovery and business continuity plans to ensure they are adequate and effective in case of system failures, cyber incidents, or natural disasters.

Scope of IS Audit

1. **Core Banking Systems (Finacle):**
 - o Evaluate the security and integrity of the Finacle platform.
 - o Assess how effectively Finacle is integrated with other bank systems and platforms.
 - o Review the access controls and permissions for Finacle users based on job roles.
2. **IT Infrastructure:**
 - o Review network security controls such as firewalls, intrusion detection systems (IDS), and encryption protocols.
 - o Evaluate the physical security of data centers, servers, and storage devices.
3. **Application Controls:**
 - o Verify that banking applications and software used for processing transactions and maintaining customer records are secure, reliable, and functioning properly.
 - o Assess the software development and maintenance lifecycle, including version management, patching, and updates.
4. **Cybersecurity Measures:**
 - o Examine protection mechanisms against cyber threats (e.g., phishing, ransomware, hacking).
 - o Review incident response protocols and the capability to handle security breaches.
5. **Data Management:**
 - o Audit data storage, backup processes, and data retention policies to ensure business continuity.
 - o Ensure the proper classification and handling of sensitive customer and financial data, in compliance with privacy regulations.
6. **Third-Party Vendor Management:**
 - o Assess the security measures taken by third-party vendors who provide IT services, software, or infrastructure to ensure that the vendor's practices align with the bank's security standards.
7. **Website Audit:**
 - o Assessment of Vulnerabilities & Penetration Testing

IT Policy (Version 1.0)

Benefits of IS Audit

- **Improved Security:** Identifies vulnerabilities and helps strengthen the security of critical banking systems.
- **Regulatory Compliance:** Ensures compliance with industry regulations and legal requirements, reducing the risk of non-compliance penalties.
- **Operational Efficiency:** Helps in identifying inefficiencies and streamlining IT processes for better performance.
- **Risk Mitigation:** Detects and addresses potential risks, such as cyber threats, fraud, and system failures, before they result in significant losses.
- **Enhanced Trust:** By ensuring secure and compliant operations, the audit helps build trust with customers, regulators, and stakeholders.

A comprehensive IS Audit Policy is lying under ownership of Audit & Inspection Department.

Cloud Services

Most of the IT Service providers are having strategies/road maps for moving their technology offerings from on premises services to predominantly in to cloud. To take benefit of such services, bank will explore the feasibility and suitability of adopting cloud services on a case-to-case basis keeping in view the comparative cost, security and feasibility aspects subject to approvals.

Customer / Employment Awareness

Customer and employee awareness is a crucial aspect of any IT policy, especially in a banking environment, where security, privacy, and effective use of IT systems play a significant role. The objective of this section is to outline how the Bank will educate and raise awareness among both customers and employees about IT best practices, security measures, and responsible use of technology.

1. Employee Awareness

A. Objectives of Employee Awareness

- **Enhance Awareness:** Ensure that all employees understand the IT policy, the risks associated with using technology in banking, and their role in maintaining a secure IT environment.
- **Promote Best Practices:** Equip employees with the knowledge to follow security protocols, avoid security threats, and protect sensitive data.
- **Foster Compliance:** Train employees to comply with internal controls, regulatory requirements, and industry standards, such as data protection laws.
- **Increase Efficiency:** Enable employees to make the best use of banking software (e.g., Finacle) and IT resources to improve productivity, accuracy, and service delivery.

B. Training Programs

- **Induction Training:** New employees should receive an orientation on IT policies, data security measures, password management, and use of the core banking software.
- **Ongoing Training:** Regular refresher courses on key topics such as phishing prevention, malware awareness, and cybersecurity hygiene.
- **Specialized Training:** For employees handling sensitive or critical tasks, additional training on advanced security measures, data protection, and regulatory compliance will be provided.
- **Simulations and Drills:** Conduct mock drills for responding to IT security incidents, such as data breaches or cyberattacks, to ensure employees are prepared.

IT Policy (Version 1.0)

C. Key Topics for Employee Education

- **Information Security Best Practices:** How to secure passwords, use multi-factor authentication (MFA), avoid phishing attempts, and handle sensitive information.
- **Handling Customer Data:** Guidelines for accessing, storing, and sharing customer information in compliance with data privacy laws.
- **Compliance with IT Policies:** Importance of following internal IT security policies and procedures, especially regarding access control, system usage, and security protocols.
- **Incident Reporting:** Encouraging employees to report any suspicious activity or security incidents promptly to the IT department.

D. Tools and Resources

- **Internal Knowledge Base:** Maintain a centralized platform with easy access to IT policies, guidelines, and FAQs.
- **Workshops and Webinars:** Organize regular sessions with experts to discuss IT security challenges and best practices.
- **Interactive Tools:** Offer quizzes, simulations, and real-time assessments to test and reinforce learning.

2. Customer Education

A. Objectives of Customer Education

- **Build Trust:** Educate customers on the security measures in place to protect their accounts, transactions, and personal information.
- **Promote Safe Banking Practices:** Guide customers on how to safely use digital banking channels (such as mobile apps and internet banking) and avoid security risks.
- **Encourage Awareness:** Raise awareness about common threats like phishing, identity theft, and social engineering attacks, and how customers can protect themselves.
- **Support Financial Literacy:** Equip customers with the knowledge to use digital banking tools efficiently, enhancing their banking experience.

B. Education Channels for Customers

- **Onboarding Materials:** Provide new customers with educational materials explaining how to use digital banking services securely, including the creation of strong passwords and use of mobile banking apps.
- **Website and Mobile App Resources:** Include a dedicated section on the bank's website and mobile app with educational content such as security tips, how-to guides, and FAQs on digital banking.
- **Email Newsletters and Alerts:** Regularly send out newsletters with tips on safe online banking, common scams, and updates on new security features.
- **Social Media Campaigns:** Utilize social media platforms to raise awareness about common cybersecurity threats and share tips for protecting online accounts.
- **Customer Support:** Train customer service representatives to educate customers on best practices and address any security concerns or queries.

C. Key Topics for Customer Education

- **Secure Use of Digital Banking:** Educate customers on how to safely use online banking, avoid phishing scams, and set up multi-factor authentication (MFA).
- **Recognizing Fraudulent Activities:** Teach customers how to recognize phishing emails, fraudulent calls, and suspicious messages requesting their personal or account details.

IT Policy (Version 1.0)

- **Privacy Protection:** Advise customers on how to protect their personal information both online and offline, including avoiding sharing banking details on unsecured platforms.
- **Password Management:** Encourage the use of strong, unique passwords for each banking service and advise against sharing passwords.
- **Steps in Case of Suspicious Activity:** Inform customers on how to report fraudulent activities or account compromise to the bank immediately.

D. Educational Content Examples

- **Security Awareness Brochures:** Distribute pamphlets or digital brochures outlining tips for safe online banking, identity protection, and using the bank's services securely.
- **Video Tutorials:** Provide short, informative videos on how to recognize phishing attacks or set up secure online banking features.
- **Infographics:** Create easy-to-understand graphics about common cybersecurity risks and how customers can protect themselves.

3. Monitoring and Evaluation

A. Continuous Monitoring

- Regularly assess the effectiveness of employee and customer education programs through surveys, feedback, and incident analysis.
- Monitor the number of security incidents or customer complaints related to IT issues to identify areas needing more education or awareness.

B. Feedback Mechanism

- Provide a platform for employees and customers to give feedback on training programs, educational materials, and security awareness campaigns.
- Use the feedback to continuously improve the education efforts and ensure they address emerging threats or concerns.

Effective customer and employee awareness plays a pivotal role in the overall success of the IT policy in a Bank. By ensuring that both customers and employees are well-informed about IT security best practices, regulatory compliance, and responsible use of technology, the bank can minimize the risks of security breaches, enhance trust, and improve overall operational efficiency. An educated workforce and customer base not only strengthens security but also contributes to a positive banking experience for all.

Reference to various IT related policies

IT Policy is the broad policy encompassing the entire IT support function of the bank. Adherence to various provisions of the IT Act 2000 and the amended IT Act 2008 including other guidelines issued by regulatory authorities from time to time, will be taken care by the respective Business Owner Department with regards to the policies being framed. Reference policies are as under

Information Security Policy
Cyber Security Policy
Vulnerability Assessment & Penetration Testing (VAPT) Policy
Customer Data Privacy Policy
Limited Liability of Customers in Unauthorized Electronic Banking Transaction Policy
Password Policy

IT Policy (Version 1.0)

Internet Banking Policy
Mobile Banking Policy
Policy for Outsourcing of Information Technology Services
Cyber Security Management Plan
Business Continuity Policy
IS Audit Policy

Wherever there is some discrepancy with respect to some clause of IT Policy and specific IT related policies as given above, the clause of specific IT related policy would prevail as they are more relevant for the specified area.

IT Committees

The IT Committees in bank plays a crucial role in overseeing and managing the strategic, operational, and security aspects of the bank's information technology (IT) systems. Given the increasing reliance on technology in banking operations, the IT committee ensures that IT initiatives are aligned with business goals, regulatory requirements, and security standards. Here are the key reasons why IT committees are important in banks:

1. Governance and Oversight

- **Strategic Alignment:** The IT committee ensures that the bank's IT strategy aligns with its business objectives. This includes integrating technology with operational goals and long-term business plans, such as improving customer experience and operational efficiency.
- **Policy Enforcement:** It is responsible for defining and enforcing IT policies, standards, and governance frameworks. These policies guide the use of technology across the bank, ensuring consistency and security in all IT activities.

2. Risk Management and Cybersecurity

- **Cybersecurity Oversight:** The committee is crucial for ensuring the bank's IT systems are secure from cyber threats. With increasing risks related to hacking, phishing, and data breaches, the IT committee plays a central role in overseeing cybersecurity measures and responding to any incidents.
- **Risk Identification and Mitigation:** The IT committee identifies potential IT-related risks (such as data loss, system downtimes, and fraud) and ensures that risk mitigation strategies, such as disaster recovery and business continuity plans, are in place and updated.

3. Regulatory Compliance

- **Ensuring Compliance:** Banks are heavily regulated and must comply with various financial regulations, such as those enforced by the Reserve Bank of India (RBI), NABARD or other regional bodies. The IT committee ensures that all IT activities and systems comply with these regulations, particularly those related to data privacy, security, and financial reporting.
- **Audit and Reporting:** The IT committee supports internal and external audits by providing oversight and ensuring that the bank's IT practices adhere to legal and regulatory requirements. This helps avoid penalties and reputational damage from non-compliance.

4. Strategic Decision-Making

- **Informed IT Decisions:** The IT committee provides senior management and the board with expert advice on IT matters, enabling them to make informed decisions about technology investments, project approvals, and future IT strategies.
- **Technology Evaluation:** The committee evaluates new technologies (e.g., cloud computing, AI, blockchain) and their potential applications to the bank, helping the institution remain competitive and responsive to market changes.

IT Policy (Version 1.0)

5. Budgeting and Resource Allocation

- **IT Budgeting:** The IT committee is responsible for reviewing and IT budget and its utilization, ensuring that funds are allocated efficiently to critical areas, such as cybersecurity, software upgrades, and system enhancements.
- **Cost Optimization:** The committee ensures that IT investments deliver value and are cost-effective, making sure that the bank's technology infrastructure remains sustainable while reducing unnecessary expenditures.

6. Performance Monitoring and Evaluation

- **System Performance:** The committee monitors the performance of IT systems, ensuring that all systems, including core banking platforms like Finacle, are operating efficiently and without disruption. This includes overseeing system uptime, transaction processing speeds, and customer-facing technology.
- **Project Oversight:** The IT committee tracks the progress of IT projects (e.g., digital transformation, system upgrades) to ensure they are completed on time, within budget, and meet the intended objectives.

7. Promoting Digital Transformation

- **Digital Strategy:** The IT committee is central to driving the bank's digital transformation initiatives, such as the adoption of mobile banking, digital payment systems, and online customer service solutions. These initiatives enhance customer experience and operational efficiency.
- **Innovation:** By staying informed about emerging technologies, the committee ensures that the bank is continuously innovating and leveraging technology to meet customer demands, improve internal operations, and remain competitive.

8. Vendor and Third-Party Management

- **Vendor Selection:** Banks often rely on third-party vendors for software, hardware, and IT services. The IT committee evaluates and selects vendors, ensuring they meet the bank's security, performance, and compliance standards.
- **Vendor Monitoring:** The committee ensures that third-party vendors adhere to contractual terms, service level agreements (SLAs), and security protocols to minimize risks related to outsourcing.

9. Crisis Management and Business Continuity

- **Incident Response:** In the event of IT disruptions or security incidents (e.g., cyberattacks, data breaches), the IT committee ensures that there are clear incident response protocols in place to manage the situation effectively.
- **Business Continuity Planning:** The committee ensures that disaster recovery and business continuity plans are robust and that the bank can continue operations in the face of unforeseen events such as system failures or natural disasters.

10. Customer Confidence and Trust

- **Building Trust:** By ensuring the security, reliability, and compliance of IT systems, the IT committee helps build customer trust. Customers feel confident that their data is protected and their transactions are secure when they know the bank has strong IT governance.
- **Improved Service Delivery:** A well-managed IT infrastructure leads to smoother and more efficient banking services, such as faster transaction processing, better mobile banking experiences, and enhanced customer service, which contributes to customer satisfaction.

11. Employee Education and Awareness

- **Training and Awareness:** The IT committee ensures that employees are educated about the bank's IT policies, security protocols, and the importance of following best practices in using

IT Policy (Version 1.0)

IT systems. This helps reduce the risk of internal errors or breaches caused by employee negligence.

Following committees will be in existence associated to IT functioning

IT Steering Committee
Information Security Committee
IT Strategy Committee
Committee to access the requirement of technical services through outsourcing
Committee for determining the Customer/Bank Liability & Genuinity of the Transaction towards reported unauthorized Electronic Banking Transaction
Committee related to BCP
WGIS - Working Group on IT Security
TMSC – Top Management Steering Committee on IT Security

Regarding risk assessment and recommendations there are two committees are in existence through which IT matters are also being assessed and recommended for onward approvals.

Risk and Control Self–Assessment (RCSA) Committee
Operational Risk Management Committee

The IT Committee in a bank plays an essential role in shaping the institution's approach to technology, security, and compliance. By overseeing the implementation of IT strategies, managing risks, ensuring regulatory compliance, and driving digital transformation, the IT committee helps ensure the bank's technological infrastructure supports business objectives while safeguarding its operations, data, and reputation. In an increasingly digital banking environment, the IT committee is integral to the bank's success, growth, and security.

Amalgamation Notice : *In accordance to the NABARD's National Level Standard Operating Procedure for Phase IV Amalgamation of RRBs, as the sponsor bank of the transferor RRBs to extend support for smooth transition in order to provide uninterrupted services to the customers of the RRBs. IT services will be continued with respective Data Centers (supported/managed by Sponsor Bank's of transferor RRBs) through existing IT Infra setup/Applications till the final IT integration.*

Sunset Clause:

The policy shall be reviewed on annual basis i.e. one year from the date of approval by the Hon'ble Board or till the next approval whichever is earlier.

Any fresh/additional guidelines issued by RBI/NABARD/Sponsor Bank or any such statutory/regulatory/supervisory etc. body shall supersede this policy with concurrence of the Chairman subject to reporting/informing the Hon'ble Board.

The validity of the policy shall be three years from the date of approval of the Board. In case the policy cannot be reviewed on or before due date, The Chairman is authorized for allowing to continue with the policy for further three months from the due date of review.

*End of the document. *